

Total Play TOTALP

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by

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			2026	2027
Price:	97.00	EPS	0	0
Shares Out. (in M):	100	P/E	0	0
Market Cap (in \$M):	100	P/FCF	0	0
Net Debt (in \$M):	1,021	EBIT	0	0
TEV (in \$M):	1,021	TEV/EBIT	0	0

Description

Total Play Telecomunicaciones — Senior Secured Notes

10.5% Senior Secured Notes due 2028 / 11.125% Senior Secured Notes due 2032

Recommendation: Buy Instruments: TOTALP 10.5% Senior Secured Notes due 12/31/2028 (\$305mm outstanding); TOTALP 11.125% Senior Secured Notes due 12/31/2032 (\$1,021mm outstanding) Reference prices: 2028s ~100 (~10.5% YTM, essentially coupon-equivalent at par); 2032s ~97 (~11.7–11.8% YTM, approximate)

Summary

Total Play's secured bonds offer investors a double-digit yield on a Mexican fiber-to-the-home operator that has completed the most capital-intensive phase of its buildout and is now inflecting into sustained positive free cash flow. Notably, the 2028s have already tightened to roughly par, consistent with the deleveraging and ratings-upgrade thesis beginning to play out, while the 2032s remain in the high-11% yield area — still offering the bulk of the spread-compression opportunity we see ahead.

The company has built the only fully fiberized nationwide network in Mexico, reaching approximately 19.5 million homes passed with roughly 28–29% penetration, leaving a long runway for low-capex subscriber growth within its existing footprint. Following a February 2025 exchange offer that converted legacy unsecured 2028 notes into a first-lien secured structure backed by both a receivables trust and the company's fiber assets, the capital structure is simpler, better collateralized, and carries materially reduced refinancing risk.

Net secured leverage of roughly 2.2–2.6x EBITDA compares favorably to Mexican telecom equity peers trading at approximately 4.5x through the equity, and asset coverage on a per-home-passed basis (roughly \$146–166/passing) sits well below peer levels of \$200+/passing. Capex/revenue has fallen from over 60% during the 2021–2022 buildout to roughly 22–25% today, and the company has now posted several consecutive quarters of positive free cash flow after interest.

Both Moody's and Fitch have moved ratings and outlooks higher over the past year, and management has guided to a path toward a BB-category rating by 2027/2028, which would support tighter spreads, a lower cost of capital, and potential refinancing or call take-out of the bonds ahead of maturity. We think the combination of hard-asset collateral, a credible deleveraging trajectory, and a rating-upgrade catalyst path offers an attractive risk-adjusted yield relative to the current 11%+ coupon.

Company Description

Total Play Telecomunicaciones, S.A.P.I. de C.V. is a subsidiary of Grupo Salinas, controlled by Ricardo Salinas Pliego, and is one of Mexico's largest providers of fiber-based broadband, pay television, and fixed-line telephony. It operates the only fully fiberized nationwide network in the country, passing roughly 19.5 million homes with about one-third penetration, and serves both residential (~5.6 million subscribers as of Q1'26) and enterprise/B2B customers. Its all-fiber infrastructure gives it a structural speed and reliability advantage versus hybrid-fiber-coaxial or DSL-based competitors, and the company has ranked at or near the top of independent network-quality rankings (download/upload speed and latency) in Mexico for five consecutive years.

Total Play completed the core of its national fiber build in early 2023. Since 2019 the company has added roughly 10.1 million homes passed and approximately 4.2 million net new customers. The business is now in a harvest/optimization phase: incremental homes passed are being added through densification and removal of technical restrictions within the existing network rather than new backbone construction, which requires minimal incremental capital.

Capital Structure and Collateral Package

In February 2025, Total Play completed an Exchange Offer and Consent Solicitation on its \$600mm 6.375% unsecured notes due 2028. Noteholders could exchange \$1,000 of old notes plus a \$450 cash deposit for up to \$1,450 of new 11.125% secured notes due 2032 (or \$1,400 for late tenders).

Approximately \$566mm of old notes were exchanged and \$255mm of new money was raised from existing holders; a further \$200mm tap followed in April 2025. Of the \$270mm in new cash, \$25mm funded a Debt Service Reserve Account, \$200mm repaid short-term bank lines, and the remainder went to general corporate purposes. Barclays and Jefferies acted as dealer managers, and Bank of New York Mellon serves as trustee and collateral agent.

The company now has two USD secured bonds with meaningfully different collateral packages:

core network construction, and incremental homes-passed growth comes largely from densification within the existing footprint rather than new fiber backbone.

2. Free cash flow has inflected positive and is becoming the company's — and our — preferred framework. Management's preferred metric, EBITDA minus capex minus cash interest paid, reached Ps.883mm in Q1 2026, up 51% year-over-year and a first-quarter record. The comparison is somewhat flattered by the cash-vs-accrual interest distinction — using accrued interest expense instead of cash paid, the same calculation grows a more modest but still solid ~19% y/y.

Falling capex intensity post-buildout and declining interest costs (on both a cash and accrual basis) are the two structural drivers, and both should continue as the network completes its transition from construction to harvest mode.

3. Leverage has ticked up slightly but sits close to the company's own target. Net debt/LTM EBITDA moved from approximately 2.4x at the time of the February 2025 exchange to roughly 2.5–2.6x currently (having been higher at points in between), landing just above management's 2.5x long-term target rather than clearly below it. This isn't a debt problem in absolute terms — total debt with cost actually fell 9% year-over-year as of Q1 2026 — rather, it reflects EBITDA softening by slightly more than debt has declined, largely tied to the capex/opex reclassification dynamic discussed elsewhere in this memo. The more relevant read for bondholders is that leverage has stabilized in a tight band right around target, with the underlying debt load shrinking in absolute terms even as the ratio has ticked modestly higher.

4. The collateral package and secured leverage compare favorably to how the equity is valued. Net secured debt at face is approximately 2.2–2.6x EBITDA versus Mexican telecom equity comps (América Móvil's cable-adjacent businesses, Megacable, Millicom) that trade through the equity at closer to 4.4x. On a per-home-passed basis, Total Play's secured debt of roughly \$146–166/passing compares to peers at \$200+/passing — a meaningful cushion for bondholders sitting ahead of a fully-built, cash-generative fiber asset.

5. Ratings and refinancing represent a credible catalyst path. Moody's moved its outlook to positive in August 2025 and management expects a one-notch upgrade to B2 around August 2026; Fitch upgraded the issuer to 'B' with a stable outlook in December 2025 and management expects a further move toward B+ by year-end 2026. Management has articulated a goal of one notch of upgrade per agency per year, targeting the BB category by roughly 2027–2028. A move up the ratings scale, combined with the company's demonstrated access to the local peso Cebures market (it issued Ps.3bn in September 2025 and has a history of tapping onshore investors at lower cost than the USD secured bonds), supports a thesis that the company could refinance and effectively take out the 2028s — and eventually approach a call on the 2032s — at a materially lower cost of capital than today's 11%+ yields.

6. Mexico's broadband market is structurally earlier in its adoption curve than developed markets, with household broadband penetration estimated at roughly 65–70% versus 90%+ in the U.S., and a meaningful share of connections still on legacy DSL. This implies a multi-year runway for fiber migration and subscriber growth industry-wide, benefiting the only 100%-fiber nationwide operator in the country.

Recent Financial Performance

- Q4 2025: Revenue of Ps.11.9bn (+6% y/y). EBITDA of Ps.5.0bn (–8% y/y, 42% margin), with the decline driven by a one-time December bonus-timing/accrual true-up (~Ps.400mm, roughly 7 of the 8-point EBITDA decline) and an accounting reclassification of contractor labor from capex to opex as field-service tracking improved — not, in management's telling, a change in underlying profitability. Free cash flow of Ps.716mm. Net debt/EBITDA of 2.57x. Residential subscribers reached 5.4 million with full-year churn of 1.7%.
- Q1 2026: Revenue grew 3% y/y to Ps.11,177mm, but EBITDA fell 5% y/y to Ps.4,849mm (43% margin vs. 47%), reflecting the ongoing capex-to-opex reclassification dynamic; operating profit dropped further to Ps.301mm from Ps.763mm on higher D&A.
- Total debt with cost fell 9% y/y to Ps.55,477mm, reflecting scheduled amortization of the 2028 Senior Secured Notes and retirement of the 2025 notes, partly offset by the \$200mm 2032-notes add-on; leases, trade payables, and reverse factoring balances all declined meaningfully y/y, consistent with a deleveraging/working-capital-discipline trend. Cash plus restricted trust cash fell to Ps.6,477mm from Ps.10,008mm, and net debt declined 5% y/y to Ps.51,756mm, putting net debt/L2QA EBITDA at 2.62x — modestly above the 2.5x long-term target but stable with recent quarters.
- The company issued Ps.1.0bn of Cebures in the quarter (~Ps.6.5bn cumulative debt amortization since Q1'25) and reiterated that cash on hand, restricted trust balances, and expected cash generation are sufficient to cover 2026–2027 "Other Facilities" obligations and roughly 65% of 2028 obligations without refinancing; only ~\$1bn of the Fiber Trust collateral pool has been drawn to date, leaving incremental secured-financing capacity if needed.
- Full-year 2026 guidance (revenue Ps.46.5–47.5bn, EBITDA margin 44–46%, capex Ps.11–12bn) was reiterated, implying continued deleveraging capacity absent a change in the operating trajectory.
- Post-Q1 management check-in: Management indicated actual 2026 revenue growth is tracking toward mid-single digits, ahead of the more conservative ~2% baseline we had modeled, and guided to EBITDA-minus-capex margins in the low-to-mid 20% range, also ahead of a ~21% internal forecast. Near-term capital priorities are refinancing short-term liabilities (Cebures and revolvers) and paying down roughly Ps.2.1bn of remaining leases/other facilities; management does not see urgency to issue against the remaining untapped Fiber Trust capacity absent attractive terms.

Valuation

The bonds are priced to yield roughly 10.5% (2028s, now trading near par) to ~11.8% (2032s, ~97), versus unsecured Latin American telecom comps such as Megacable, Millicom, and América Móvil's cable-adjacent businesses that trade at 5–9% yields. Given Total Play's dual-collateral secured structure (versus

unsecured comps), a fully funded reserve account, and improving credit metrics, we believe a multi-hundred-basis-point tightening toward high single-digit yields is achievable as ratings migrate toward BB and the company demonstrates sustained free cash flow generation — which would imply meaningful further price appreciation, particularly on the 2032s, on top of the current double-digit carry. On an asset-coverage basis, secured net debt of roughly \$146–166 per home passed compares to equity-comp valuations of \$200+ per home passed, suggesting bondholders are well covered even before crediting any value to the receivables trusts.

Against its closest public equity comparables — Megacable, América Móvil, and Grupo Televisa — Total Play's secured debt looks reasonably positioned on leverage but stands out on cost of capital. Net leverage across the peer set ranges from 1.24x (Megacable) to 2.64x (Televisa), averaging 1.91x, with América Móvil in between at 1.86x; Total Play's current net debt/EBITDA of roughly 2.6x sits at the higher end of that range, closer to Televisa than to Megacable or AMX. On an EV/EBITDA basis the peers trade at an average of 4.83x (4.37x–5.54x), and at 9.64x on an EV/EBITDA-capex basis (8.88x–10.27x) — multiples that imply the market is assigning meaningful enterprise and equity value above and beyond even a fully-levered EBITDA base, which supports the collateral-coverage argument: if a private, unrated fiber operator like Total Play were assigned anything close to peer multiples, its secured bondholders would sit comfortably inside the capital structure. The more striking gap is on financing cost: interest expense as a percentage of revenue for the peer group runs 5.3%–8.5% (5.6% Megacable, 5.3% AMX, 8.5% Televisa), all investment-grade or near-investment-grade issuers, versus roughly 14% of revenue for Total Play today. That spread is the clearest evidence that Total Play is being financed at a private, sub-investment-grade cost of capital despite leverage that isn't dramatically out of line with public peers — and it's the gap management is explicitly targeting to close through the ratings-upgrade glide path (toward BB by 2027–2028), since even partial convergence toward peer-level interest costs would be a substantial swing factor for free cash flow.

Public Peers												
Ticker	Name	EBITDAM	Capex	EBITDA - Capex	Gross Debt / EBITDA - Capex	Net Debt / EBITDA - Capex	EV / EBITDA - Capex	EBITDA - Capex	Interest Expense / Revenue	Net Debt / EBITDA	EV / EBITDA	EV / EBITDA
MEGA CPO MM	MEGA CABLEHOLDINGS-CPO	45.2%	(9,551)	7,752	3.41x	2.77x	9.76x	20.2%	1.53x	1.24x	5.6%	4.37x
AMXB MM	AMERICA MOVIL SAB DE C-SER B	39.8%	(145,644)	241,668	3.12x	2.98x	8.88x	24.8%	1.95x	1.86x	5.3%	5.54x
TV	GRUPO TELEvisa SA-SPON ADR	37.8%	(11,939)	9,610	9.71x	5.92x	10.27x	16.9%	4.33x	2.64x	8.5%	4.58x
	Avg						9.64x		2.60x	1.91x		4.83x
	Min						8.88x		1.53x	1.24x		4.37x
	Max						10.27x		4.33x	2.64x		5.54x

Catalysts

Total Play — Ratings Momentum

Both of Total Play's rating agencies have moved firmly in the same direction over the past two years, and the pace of upgrades has been accelerating rather than stalling. On the Moody's side, the senior secured debt was upgraded to B3 from Caa1 on April 2, 2024 — a two-notch move that reflected the early benefits of the February 2025 exchange offer even before it closed — and Moody's has kept the rating there since, with a positive outlook that management expects to convert into a further upgrade to B2 sometime around the third quarter of 2026. Fitch has followed a similar but slightly lagged path: the issuer and senior secured rating stood at B- as of January 2025, and Fitch moved it a full notch to B on December 17, 2025, citing improved liquidity, reduced refinancing needs, and expectations for stronger free cash flow generation over the following two to three years. Fitch left the outlook stable at the time of the upgrade, and per management's guidance from the Q1 2026 check-in call, the next Fitch move (also expected to be one notch, to B+) is targeted for the fourth quarter of 2026.

Taken together, the pattern is two agencies each moving roughly one full notch higher every 12–18 months, off a starting point in the low single-B/high-Caa range in 2024, and converging on a management-articulated target of reaching the BB category by 2027–2028. That cadence lines up with the operational and financial trend we've tracked in the underlying business — declining capex intensity, four consecutive first quarters of positive EBITDA-less-capex-and-interest, and net leverage stabilizing around the company's 2.5x target — which is precisely the kind of track record rating agencies want to see sustained before committing to further upgrades. The practical significance for bondholders is that each incremental notch closes part of the gap between Total Play's current cost of capital (interest expense at roughly 14% of revenue, well above investment-grade telecom peers) and where a fully self-funded, hard-asset-backed fiber operator would otherwise be priced — which is the mechanism underlying both the spread-compression thesis and the potential for an eventual refinancing or call take-out of the bonds ahead of stated maturity.

A couple of caveats are worth flagging. Fitch's rating action history shows the agency has consistently framed its outlook as stable rather than positive even immediately after an upgrade, so the next move is not a foregone conclusion — it depends on Total Play continuing to deliver the cash-flow and leverage trends both agencies have cited as their basis for upgrading. The rating dates and levels above are drawn from Bloomberg rating-history data and public rating-action commentary; we would recommend a final cross-check against each agency's own site ahead of publication to confirm dates and outlook language are current.

1. Ratings upgrades — Moody's (expected 3Q'26, B3 to B2) and Fitch (expected 4Q'26, B to B+), each part of a stated one-notch-per-year, per-agency cadence targeting the BB category by 2027–2028.
2. Continued FCF inflection — sustained EBITDA–capex–interest generation validating the post-buildout, self-funded operating model.
3. Refinancing / call take-out — reopened access to the lower-cost onshore peso (Cebures) market could fund a redemption of the smaller, higher-cost 2028s as the call price steps down (105.25% stepping to 102.625% in July 2026) and amortization shrinks the outstanding float toward ~\$100–200mm, with a similar dynamic potentially available on the 2032s as they approach their 2028 call date.
4. Maintaining 2.5x target, reducing the interest-expense drag that management has identified as the single largest gap between current cash flow and its longer-term equity/enterprise value.

Key Risks

- Unhedged FX exposure. Roughly half of total debt is USD-denominated while nearly all operating cash flow is generated in pesos. Management does not currently hedge this exposure, citing high hedging costs (management noted the last hedge cost 3–4% of notional) relative to the 14% of revenue already consumed by interest expense; a sharp peso depreciation (management’s own stress-test references holding up to ~24 pesos/USD before liquidity becomes strained, versus ~17–18 today) would pressure debt-service capacity. Consistent with this exposure, Q1 2026 results already show a foreign-exchange loss of Ps.149mm, up from Ps.40mm a year ago.
- Reported EBITDA has become noisier due to capex/opex reclassification. Shifts of maintenance and installation labor between capex and opex (most visibly in Q4 2025 and again cited in Q1 2026) have compressed headline EBITDA margins even as management argues underlying cash generation (EBITDA–capex–interest) is improving. This creates real risk that reported margins remain choppy than guided, and it places some reliance on management’s own framing of “true” cash generation.
- Related-party/sponsor risk. Total Play is controlled by Grupo Salinas; the December 2025 accelerated bonus payment across Grupo Salinas entities — following the conglomerate’s ~MX\$32.3bn settlement of a long-running tax dispute — cost Total Play roughly \$35mm in cash (about 10% of cash on hand) for reasons connected to the broader group rather than Total Play’s own operations. This is a reminder that capital allocation decisions can be influenced by sponsor-level considerations.
- Execution risk on the ratings glide path. The upgrade cadence, refinancing assumptions, and eventual call/take-out thesis all depend on continued execution; any stumble in FCF generation, an unexpected working-capital swing, or a slower-than-expected ratings path would delay the spread-compression catalyst that underpins much of the expected total return beyond current coupon income.

Conclusion

Total Play offers bond investors a rare combination in Latin American high yield: a completed, hard-asset infrastructure buildout; a first-lien collateral package spanning both receivables and physical fiber assets; a credible and already-in-motion deleveraging and ratings-upgrade path; and a still-attractive double-digit current yield. We think the risk/reward on both the 2028 and 2032 secured notes is attractive at current prices, with the potential for further price appreciation as EBITDA–capex–interest generation continues to build, ratings migrate toward the BB category, and the company regains fuller access to a lower-cost local funding market.

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Catalyst

See catalyst section above

Messages

No messages